

EXECUTIVE MEMO

ERP Transformation Strategy for Successful Cloud ERP Implementation

TO:	Executive Team, Alpha Manufacturing Group (AMG) & Board Transformation Sponsor	DATE:	26 th July, 2026
FROM:	Digital Transformation Advisory	RE:	ERP Replacement – Program structure, Scope & Data Strategy

Executive Summary

AMG's current technology landscape actively constrains operational performance. A 20-year-old legacy ERP, a disconnected engineering database, and fragmented reporting have directly eroded profitability, contributing to margin erosion on roughly 80% of custom orders, driving production delays through fragile BOM synchronization, and forcing heavy reliance on manual workarounds across five operating locations. Bridging the gap between AMG's complex engineer-to-order (ETO) business model and its ageing infrastructure requires viewing this effort as a core business transformation rather than a routine software upgrade. The greatest risk facing AMG is not an outright system failure, but a technically successful go-live that quietly carries forward today's data quality and process deficiencies. To prevent this, we recommend a disciplined, phased cloud ERP rollout. This strategy prioritizes business continuity, strict scope management, and robust user adoption over arbitrary deadlines. Program success will be defined by clean BOM-to-finance integration, real-time margin transparency, and zero operational disruption.

1. Program Governance & Overall Approach

Program Priorities

- 1. Protect the Business Model First:** The core metric of success is solving root-cause margin erosion by improving BOM accuracy, job costing, and shop-floor labor capture.
- 2. Zero Operational Disruption:** Shipments and statutory financial close schedules must continue uninterrupted through cutovers.
- 3. Day 1 Margin Transparency:** Real-time contribution margin tracking by job and customer is a core Day-1 requirement, not a post-launch phase.
- 4. Unified Core:** Consolidate fragmented tools into one clean, standard-first core, replacing fragile point-to-point connections with owned, SLA-backed integrations.
- 5. Disciplined 12-Month Execution:** Meet the timeline through strict scope governance.

Phasing Strategy: Staged Rollout Over 12 Months

To manage engineer-to-order (ETO) complexity while hitting the 12-month mandate, AMG will execute a **single design track with a phased go-live** rather than a high-risk multi-site "Big Bang."

- Phase 0: Mobilize & Discover (Months 1-2):** Finalize SI selection, establish Steering Committee governance, assign full-time Business Process Owners, and conduct legacy data/BOM audits.
- Phase 1: Design & Fit-to-Standard (Months 3-5):** Configure the core global template (Finance, Procurement, MRP, Costing) around native ERP functionality. Document all deviations in a central register.
- Phase 2: Build, Integrate & Test (Months 6-8):** Develop real-time engineering/BOM integrations and migration pipelines. Conduct two full UAT and mock data reconciliation cycles.
- Phase 3: Pilot Go-Live (Months 9–10):** a representative single-entity site, with corporate finance participating in the same close so the consolidation engine itself is validated even though only one operating entity is live.

- **Phase 4: Wave 2 Rollout & Hypercare (Months 11–12+):** Deploy the template to remaining sites in structured waves, supported by dedicated hypercare through initial closes.

Key Risks & Targeted Mitigations

- **BOM & Master Data Corruption:** Every migrated BOM requires engineering sign-off before it moves, with real-time (non-batch) CAD/ERP sync and cleanse-before-migrate rules enforced by dedicated Data Stewards.
- **Scope Creep & Legacy Replication:** A strict "Fit-to-Standard" rule applies across the build, with business-case justification required for any custom code.
- **Multi-Entity Financial Complexity:** Intercompany handling and statutory reporting are validated during the Phase 3 Pilot close, before Wave 2 makes any other site's numbers dependent on it.
- **User Adoption Across Sites:** Role-based training runs on actual AMG data, with Pilot "Site Champions" deployed to support peer training during Wave 2.
- **Program Resourcing & Capacity:** Business Process Owners and Data Stewards are backfilled at their home sites for the program's duration, with SI-partner selection itself gated through the same Steering Committee criteria used for every other program decision

Scope Control Framework

A joint **Steering Committee** (Sponsor, CFO, VP Ops, VP Eng, Program Director) holds final gate approval using clear Go/No-Go criteria, with all customization decisions governed by the Change Advisory Board process detailed under Customization Governance.

2. Scope & Sequencing Strategy

To hit the 12-month go-live while protecting operations, AMG must strictly distinguish core operational necessities from deferred capabilities:

- **Day-1 Must-Haves (In-Scope):**
 - **Core Finance & Multi-Entity:** GL, AP, AR, fixed assets, and consolidation for all 5 US/Canada entities.
 - **Aftermarket Parts & Service:** Order entry and inventory go live Day-1; service-contract and warranty tracking are deferred post-stabilization.
 - **Operations & MRP:** Procurement, inventory, production order execution, and shop-floor labor capture.
 - **Engineering Integration:** Real-time (or near-real-time) integration between the existing engineering BOM/ECN system and ERP.
 - **Margin & Job Costing Engine:** Job costing capabilities sufficient to yield real-time contribution margin by customer order.
 - **Core Master Data:** Cleansed single-source item master, BOMs/routings, customer, and vendor files.
 - **Core KPI Layer & Governance:** Margin, backlog, on-time delivery, labor efficiency, and role-based security controls.
- **Deliberate Deferrals & Exclusions:**
 - **Engineering Authoring Replacement:** Retain the current system behind a modern API interface; evaluate native ERP migration only in post-stabilization phases.
 - **Siloed Integrations:** Defer CRM and HRIS/Payroll integrations to post-go-live phases to reduce initial integration risk.
 - **Advanced Analytics:** Postpone predictive analytics until the baseline reporting layer is stable.
 - **Data Records:** Exclude inactive legacy parts, obsolete vendors, long-tail inactive customers, and granular transaction history beyond agreed retention limits.

Customization Governance

To preserve system upgradability and keep the implementation within budget, AMG should adopt a **configuration-over-customization** approach, using standard ERP functionality wherever possible. Any request to deviate from the standard solution should be supported by a clear business case and reviewed by a **Change Advisory Board** to determine whether native ERP functionality can meet the requirement before custom development is approved, with every decision logged in a central Customization Register for Steering Committee visibility at each phase gate. Where customization is necessary, it should be delivered through the **ERP's extensibility framework** rather than modifying the core application, ensuring future upgrades remain straightforward. In addition, each functional workstream should operate within a limited customization budget during Phase 1, encouraging teams to prioritize only high-value enhancements. These measures promote disciplined decision-making, reduce long-term maintenance costs, and help ensure the ERP remains scalable and easy to support.

3. Data Strategy, Reporting & Month-End Continuity

Historical Data Migration Architecture

To prevent legacy transactional bloat from degrading performance, data will be migrated using a **Tiered Approach**:

- **Tier 1 (Full Detail):** All active master data and open transactions at cutover (Sales Orders, POs, WIP, AP/AR balances).
- **Tier 2 (Summarized):** 2-3 years of closed historical data migrated strictly at aggregate levels for year-over-year KPI reporting.
- **Tier 3 (Archived):** All remaining legacy details are moved into a read-only data warehouse, eliminating performance bloat while preserving compliance access.

Reporting & Month-End Close Continuity

- **Interim Reporting Layer:** Stand up a unified reporting sandbox fed by both legacy and new ERP data, ensuring leadership maintains uninterrupted visibility into core KPIs (margin, backlog, delivery) throughout transition.
- **Parallel Close Dress Rehearsal:** Execute at least one complete parallel month-end close (legacy and new ERP side-by-side) before pilot cutover.
- **Read-Only System Freeze:** Retain the legacy core in read-only mode post-cutover rather than executing an immediate hard decommissioning.
- **Formal Go/No-Go Gates:** Require formal financial reconciliation sign-off before approving cutover for any operating site.

Strategic Recommendation

The Executive Team and Board should approve the **phased pilot-then-wave rollout** and **fit-to-standard governance model**.

We recommend selecting the pilot site based on clean master data, representative order complexity, willing site leadership, and single-entity status, deferring the Canadian entity to Wave 2 once consolidation is proven. Year-1 investment is estimated at \$0.9M - \$1.3M, with a 12-18-month payback driven by recovering just 2-3 margin points on today's ~80% margin-erosion rate, worth \$1M - \$2M annually. Within two quarters of pilot go-live, AMG should target margin-erosion orders below 40%, real-time contribution margin visibility, and a 2-3-day reduction in close time.

By prioritizing operational stability, job-costing accuracy, and clean BOM synchronization over open-ended system customization, AMG will establish a margin-transparent operational core at its pilot site within 10 months, with the remaining four operating locations onboarded predictably using a proven, de-risked rollout playbook.